UNIT –IV :- AFFLIATE MARKETING

Introduction

Market is dynamic in nature which suggests that it is changing every day. The concepts related to the market are also evolving with the changes seen in the market. **Affiliate marketing** is one of the contemporary ways of promoting products and services and an effective advertising model. Affiliate marketing is also regarded as a **performance-based** concept.

In simple words, it is the advertising model where a product or service is promoted or advertised by associating with a third-party (**affiliate**). The company in return provides commission fee and other incentives to the affiliate. The recent boom in Internet users has increased the state of affiliate marketing.

Affiliate Marketing has the particular responsibility of promoting the market so that it can earn revenue, it requires involvement and coordination of different groups. There are 4 parties involved in affiliate marketing.

1. The Sellers or Advertisers or Product Creators
2. The Affiliates or Publishers
3. The Consumers
4. The Network

1) The Sellers or Advertisers or Product Creators:

Sellers, Advertisers or Product creators can be anyone from a solo business person promoting its product or service to a large enterprise with multiple ranges of business or a vendor merchant with a product in the market. There are individuals or businesses with a product or service they wish to sell.For Instance, Amazon, the online retail giant, as well as Mr. XYZ, a youtuber with good content , can be the seller.

2)The Affiliates or Publishers

Affiliates or publishers are the third party who promote the content or the product of the seller/advertisers in their platform. Affiliates market the sellers' product in more convincing ways to the potential customers. Publishers persuade their followers, viewers to try the product and convince them to purchase it

3)The Customers

The followers, subscribers, blog followers and the one who purchases from the affiliate links are the customers. Affiliates share the products in their social media accounts, websites, blogs etc. and interested customers consider buying it.

4)The Network

Some do not consider networks as the part of affiliate Marketing but there are certain groups which associate Network groups as an important part of affiliate marketing. Network simply means an affiliate doing more than just promoting the product for sales. Affiliates sometimes manage the database of the products, sales, payment and product delivery on behalf of Advertisers. All this association of functions by affiliates creates an affiliate network. ClickBanks, CJ Affiliates, FlexOffers etc. are some of the affiliate networks.

FUTURE OF DIGITAL MARKETING

1)Because digital marketing has become an essential aspect of today's businesses, it's beneficial to grasp the technology and comprehend its potential in terms of career opportunities, jobs, and compensation in the country.

2) According to projections, by 2023, the number of active Indian web users will have surpassed 666 million. According to Global Data, the Indian internet business market would increase to 7 trillion rupees by 2023 as a result of the lockdowns.

3) When we talk about digital marketing, it's important to highlight that the future of digital marketing in India, as well as the scope of digital marketing in the future, is set to brighten in the coming years.

4) Economists estimate that this scheme will increase GDP by $1 trillion by 2025. It could also aid in the creation of jobs, labor productivity, corporate growth, and government revenue generation, among other things.

5) According to a Goldman Sachs report, by 2025, the future scope of Digital Marketing in the Indian Internet business will be worth US$160 billion, more than trebling its current value.

6) There are several Digital Marketing agencies in India that can help organizations with their marketing demands.

7) This rise in digital marketing is due to a variety of factors, including significant changes in traditional marketing. Prior to this, marketing consisted primarily of door-to-door sales and word-of-mouth publicity. Previously, marketers relied on physical labor to promote their products.

8) "Digital India" initiative - The Government of India created the Digital India program in order to leverage information technology to modernize the entire ecosystem of public services, with the objective of transforming India into a digitally empowered society and knowledge economy. Opportunities can now be found not just in big cities, but also in little towns.

9) In addition, when compared to other marketing platforms, digital marketing is one of the most cost-effective ways to promote a product. This also results in a higher rate of engagement. Because individuals use social media for almost everything, the engagement rate should be higher.

10) Small towns are getting increasingly technologically connected as well. Metros are already part of the digital economy. Towns and cities are becoming increasingly connected through digital channels as the scope of digital marketing develops.

11) Furthermore, the COVID-19 lockout has raised awareness of the importance of internet platforms, particularly for commercial purposes, around the world. Companies can't reach out to their customers in person, but they can do it online at any time and from anywhere.

TECHNOLOGICAL ADVANCEMENTS IN DIGITAL MARKETING

1. Big Data – Cloud technology has opened up doors to both big and small businesses to gather massive amounts of customer data, in part giving way to big data. Today's corporations know more about customers than ever before, helping them to create accurately targeted and personalized ads.
2. Artificial Intelligence (AI) – cognitive and reasoning applied to computer and algorithmic processes hold the promise of making faster, more accurate marketing decisions and predictions. This will unleash our industry's creativity.
3. Machine Learning – intelligent audience segmentation and analytics can execute and test millions of data points to assist marketers in adapting and optimizing their campaigns in real-time.

4. Bots – Chatbots are a relatively inexpensive and flexible way for brands to improve customer service as they can quickly give data-related answers and take requests. It can easily be integrated into a website, app, or social media platform, and can gather information to use in marketing strategies.
5. Voice Search – voice software is now being utilized more than ever to search, comprising almost 1/3 of the 3.5 billion Google searches performed daily. This change will likely upend paid and organic search strategy practices in the future.
6. Virtual Reality and Augmented Reality – AR and VR offer a visceral try-before-you-buy customer experience, allowing them to explore a product, engage with the brand, and buy at the same time—even making them go through a range of senses and emotions.

7. Internet –of-Things (IoT) :- The increase in the number of connected devices will result in a web of linked objects that marketers can harness to learn consumer information, including their likes and dislikes.

8 -Blockchain – Marketers can use blockchain to track and keep audiences engaged in advertisements.

9. Beacons – led the market in proximity marketing technology, accounting for 65% and beating out WiFi and NFC. Around 14.5 million beacons have been in use as of 2017 and may hit the expected 400 million units by 2020.
10. 5G – 5G's increased spectrum chunks, bigger carrier aggregation, and beam-forming and tracking capabilities can significantly improve throughput and efficiency, and provide up to 100 times faster connectivity than 4G with latency by a factor of five.

PRACTICAL APPLICATIONS OF DIGITAL MARKETING

Digital marketing bring new opportunities for company to use multi channel to marketing products and service. Company should consider digital marketing as a important part of their marketing strategy.

Some important practical applications of digital marketing are as given below

Advertising medium :- Except the traditional media, such as newspaper, radio stations, television stations and etc, internet can be used in marketing. Company can display advertising on publisher sites or social networks. It can create awareness of brands and demands for products or services.

Direct-response medium :- Company put the introduction of the product or service on publisher sites or social networks. It can enable customers to search and learn product online and compare with others brand or company when consumers shows intent to purchase.

Platform for sales transactions:- The development of information technology changed all aspects of our life, online shopping is become a trend. Internet as a sale transaction platform bring convenience, cheaper goods, greater variety and accessibility to cross border transactions.

Lead-generation :- To generate leads for new and existing products and services digital media is used.
Distribution channel : - Digital marketing offer a channel for company sell goods directly to customers and to other online retailers.
Customer service mechanism :- Digital marketing can provide a way for customers to self service. For example, an online education institute can put video online and students can listen lectures at home according to E-learning
Relationship-building medium :- Internet can be used as a tool to build relationships with customers, satisfy them and enhance customers loyalty.It including better understand customers' need, offer good service and products, and send email regally.